DAY & NIGHT SERVICES

Term or Permanent? Life Insurance in Plain English

Most people do not know which kind they have. Here is how to find out in ten minutes — and what the difference actually costs you.

Greg Jimenez

Independent Life Insurance Broker · California License #4423937

Day & Night Services · Salinas, CA

START HERE

Most people genuinely do not know

Ask someone what kind of life insurance they have and you will usually get one of three answers: “the one through work,” “I think whole life?”, or a long pause.

That is not a knowledge failure. Policies get sold quickly, the paperwork is dense, and nobody sits you down afterward to explain what you actually bought. But the difference between the two main types is enormous — in what it costs, how long it lasts, and whether your family is covered on the day it matters.

This guide explains both in plain language. No jargon defended with more jargon.

The two families

Term life

You are covered for a **set number of years** — commonly 10, 20, or 30. If you pass away during that window, your beneficiaries receive the death benefit. If the term ends and you are still living, coverage stops and there is no payout.

It is the simplest and generally the least expensive way to buy a large death benefit. It builds no cash value.

Permanent life

Designed to last your whole life, as long as the policy stays funded. It includes a **cash value** component that can grow over time. The main varieties:

- **Whole life** — fixed premium, guaranteed death benefit, cash value that grows at a contractually guaranteed rate.
- **Indexed universal life (IUL)** — flexible premium; cash value credited based on the movement of a market index, subject to a cap on the upside and a floor that limits index-driven losses. It is not a direct investment in the market.
- **Final expense** — a small permanent policy meant to cover funeral and burial costs. Easier to qualify for at older ages.

THE HONEST VERSION

Permanent coverage costs meaningfully more per dollar of death benefit than term does. In exchange you get coverage that does not expire and a cash value component. Whether that trade is worth it depends entirely on your situation — which is the whole point of this guide.

Educational information only. Not financial, tax, or legal advice, and not a recommendation to buy, sell, replace, or change any policy. Product features and availability vary by carrier and by state.

SIDE BY SIDE

What actually differs

	TERM	PERMANENT
How long	A set number of years	Your whole life, if kept funded
Cost per $ of benefit	Lower	Higher
Cash value	None	Yes, grows over time
Premium	Usually level for the term	Fixed, or flexible depending on type
If you outlive it	Coverage ends, no payout	Still in force
Commonly used for	Mortgage years, raising children, income replacement	Lifelong needs, final expenses, estate and legacy planning

How to find out what you have — ten minutes

1. Find your policy documents, or log into the carrier's website.
2. Look for the words **"Term"** or **"Whole Life" / "Universal Life" / "Indexed Universal Life"** on the first page or the annual statement.
3. Check for a **cash value** or **accumulation value** line. If there is one, it is permanent. If there is not, it is almost certainly term.
4. Find the **expiration or maturity date**. Term policies have one. Write it down.
5. Confirm the **named beneficiary** — and whether it is still the person you would choose today.

> **THE ONE PEOPLE GET WRONG**
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> Coverage through your employer usually ends when the job does, and it is often a modest multiple of salary. If that is your only policy, your coverage is tied to your employment. Worth knowing before you need it.

Educational information only. Not financial, tax, or legal advice. Guarantees are backed by the claims-paying ability of the issuing insurance company.

BEFORE YOU DECIDE

Five questions worth answering first

1. Who depends on my income right now?

Spouse, children, a parent, a business partner. The answer sets the amount before it sets the type.

2. How long will they depend on it?

Until a mortgage is paid? Until the youngest finishes school? For life? This is usually what points toward term or permanent.

3. What would actually have to be paid?

Mortgage balance, remaining debts, final expenses, years of income, education. Add it up rather than guessing a round number.

4. What do I already have — and does it end?

Employer coverage, an old policy, coverage through an association. Note the expiration dates.

5. What can I comfortably pay every month, permanently?

The best policy is the one that stays in force. A lapsed policy protects nobody.

> **A CAUTION WORTH STATING PLAINLY**
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> Be wary of anyone who recommends a specific product before asking these questions, or who pushes you to replace an existing policy without a written comparison. Replacing coverage can restart contestability periods and surrender charges. Get the comparison in writing.

What to do next

Pull your policy out this week and answer the five questions above. That alone puts you ahead of most people. If what you find raises questions — or you cannot tell what you are looking at — that is exactly the kind of thing a short call sorts out.

Free 15-minute policy check

Bring what you have. I will tell you plainly what it is, what it covers, and whether it still fits — and I will tell you if you are already in good shape and need nothing from me.

831-262-6374

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